

☐ CORRECTED ☐ DUPLICATE

1 Claim Number and Payee Code A XXX-XX-9930 (55)		3 Employee Contributions 8,400.00	
2 Recipient's Identification Number XXX-XX-4419		4 Contributory Amount Paid 4,632.00	
Recipient's Name, Street Address, City, State, and ZIP Code Margaret E. Ostrander 1427 Loras Boulevard Dubuque, IA 52001		5 Vested Dual Benefit 0.00	6 Supplemental Annuity 0.00
		7 Total Gross Paid (Boxes 4 + 5 + 6) 4,632.00	
		8 Repayments 0.00	9 Fed. Income Tax Withheld 0.00
		10 Medicare Premium Total (shown on Form RRB-1099)	

This is important tax information and is being furnished to the Internal Revenue Service. Box 3 (Employee Contributions) is your cost in the contract and is recovered tax-free over your lifetime; it is not income for the year. Use the Simplified Method Worksheet to determine the taxable portion of Box 7. Railroad retirement payments are not taxable for state income tax purposes.

Survivor Annuity — Monthly Payment Detail, 2025

Your railroad retirement survivor annuity is paid as a single monthly payment on the first business day of each month. The payment combines the Tier I Social Security Equivalent Benefit (reported on Form RRB-1099) and the Non-Social Security Equivalent Benefit plus Tier II (reported on Form RRB-1099-R). Medicare premiums are withheld before the net amount is deposited to your bank account.

Month	SSEB (Tier I)	NSSEB + Tier II	Gross Annuity	Medicare	Net Deposit
January	1,129.00	386.00	1,515.00	185.00	1,330.00
February	1,129.00	386.00	1,515.00	185.00	1,330.00
March	1,129.00	386.00	1,515.00	185.00	1,330.00
April	1,129.00	386.00	1,515.00	185.00	1,330.00
May	1,129.00	386.00	1,515.00	185.00	1,330.00
June	1,129.00	386.00	1,515.00	185.00	1,330.00
July	1,129.00	386.00	1,515.00	185.00	1,330.00
August	1,129.00	386.00	1,515.00	185.00	1,330.00
September	1,129.00	386.00	1,515.00	185.00	1,330.00
October	1,129.00	386.00	1,515.00	185.00	1,330.00
November	1,129.00	386.00	1,515.00	185.00	1,330.00
December	1,129.00	386.00	1,515.00	185.00	1,330.00
Total — 12 months	13,548.00	4,632.00	18,180.00	2,220.00	15,960.00

The SSEB column totals to Box 5 of Form RRB-1099 (\$13,548.00). The NSSEB + Tier II column totals to Box 7 of Form RRB-1099-R (\$4,632.00). Medicare premiums of \$2,220.00 (Box 11 of Form RRB-1099) were withheld during the year. The net deposited to your bank was \$15,960.00.

Annuity Component & Cost-of-Living History

Survivor annuity in effect since 2023. Annual amounts by component (gross, before Medicare):

Year	SSEB (Tier I)	NSSEB + Tier II	Total Gross	COLA
2023	13,116.00	4,488.00	17,604.00	—
2024	13,332.00	4,560.00	17,892.00	1.6%
2025	13,548.00	4,632.00	18,180.00	1.6%

Cost-of-living adjustments to Tier I mirror Social Security COLAs; Tier II receives a separate adjustment. Employee contributions (Box 3 of Form RRB-1099-R) represent the employee's cost in the contract and are unchanged from year to year unless recalculated by the Board. Federal income tax is withheld only if you have filed Form W-4V; no voluntary withholding election is currently on file for this annuity.

Explanation of Form RRB-1099-R Tax Statement

Form RRB-1099-R reports the total gross payments, repayments and the related U.S. Federal income tax withheld from the Non-Social Security Equivalent Benefit (NSSEB) portion of tier I, tier II, vested dual benefit (VDB), and supplemental annuity payments. These payments are treated as private pensions for U.S. Federal income tax purposes.

If you are affected by the General Rule, you must compute the taxable and nontaxable amounts of your annuity payments using the employee contributions amount also shown on this form (Box 3). If you are using the Simplified Method, refer to the Simplified Method Worksheet in the Instructions for Form 1040.

For widow(er)s who were paid as a spouse for part of the tax year, use only the annuity payments you received as a widow(er) to figure your nontaxable amount. Railroad retirement payments are not taxable for U.S. state income tax purposes. For more information, refer to IRS Publication 575.

Explanation of Items on Form RRB-1099-R

Box 3 - Employee Contributions. The amount of railroad retirement payroll taxes paid by the employee that exceeds the amount that would have been paid in social security taxes. The IRS refers to this as the employee's investment in the contract (cost). It is NOT income received in the tax year; it is used to figure the nontaxable portion of NSSEB and tier II payments. If this box is blank, your NSSEB and/or tier II payment is fully taxable.

Box 4 - Contributory Amount Paid. The gross amount of NSSEB and tier II benefits paid in the tax year. Used by employees and survivors covered under General Rule provisions to compute taxable NSSEB and tier II amounts.

Box 5 - Vested Dual Benefit. Fully taxable for U.S. Federal income tax purposes.

Box 6 - Supplemental Annuity. Fully taxable for U.S. Federal income tax purposes.

Box 7 - Total Gross Paid. The sum of the amounts shown in Boxes 4, 5, and 6.

Box 9 - Federal Income Tax Withheld. Include this on your income tax return as tax withheld.

Box 10 - Medicare Premium Total. Normally shown on Form RRB-1099; if shown there, this box is blank.

Simplified Method Worksheet — Reference

Use this worksheet to figure the taxable part of the NSSEB and tier II payments in Box 7 when an amount appears in Box 3.

Line 1. Enter the total pension from Box 7 of this Form RRB-1099-R.

Line 2. Enter your cost in the plan from Box 3 (Employee Contributions).

Line 3. Enter the number from the table based on your age at the annuity starting date (for a survivor annuity, your age when the employee annuitant died): 55 and under = 360; 56-60 = 310; 61-65 = 260; 66-70 = 210; 71 and over = 160.

Line 4. Divide line 2 by the number on line 3. This is the tax-free amount of each monthly payment.

Line 5. Multiply line 4 by the number of months for which payments were made during the year.

Line 6. Subtract line 5 from line 1. This is the taxable amount; enter it on Form 1040, line 5b. The tax-free amount continues each year until your total cost has been fully recovered.